

26STCV01721 26STCV01721

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Case Number: 26STCV01721 Hearing Date: July 6, 2026 Dept: 307

15 TENTATIVE RULING 9:15 a.m. Tuesday, July 7, 2027

DIPLOMAT

PROPERTY MANAGER, LLC v. STEWART TITLE GUARANTY COMPANY, et al. [26STCV01721]

DEMURRER

TO THE FIRST AMENDED COMPLAINT WITH A MOTION TO STRIKE OF DEFENDANT STEWART
TITLE GUARANTY COMPANY

MEET AND

CONFER: OK. Complies with CCP 430.41 and 435.5.

BACKGROUND:

FAC alleges breach of insurance contract and breach of the implied covenant (bad
withholding of policy benefits)

TIMELINE:

Circa 2019 or 2020: Sound Equity, Inc. ("Lender")
considers making a loan in the amount of \$2,279,700.00 (the "Loan") to Palms
Blvd. Venice Beach, LLC ("Borrower") to be used to purchase the real property
located at 722 and 724 Palms Blvd. Venice, CA 90291 (the "Property") from
Ginger Drinkwater ("Drinkwater"). The Loan was to be secured by a first
priority lien position Deed of Trust recorded against the Property from
Borrower to Lender. The Deed of Trust was to be recorded by Defendant Stewart
Title of California, Inc. ("Stewart Escrow") and insured by Defendant Stewart
Title Guaranty Company ("Stewart Insurance").

When Stewart

Escrow's escrow officer and notary public, Nancy Rico, asks Drinkwater to sign the Grant Deed for Borrower's purchase, Drinkwater allegedly asks her son why she was being asked to sign the Grant Deed. Her son purportedly falsely tells Drinkwater that it needed to be signed to finalize the construction they were doing in the front of the house.

1/10/2020:

Stewart Escrow closes escrow for the Loan, receives its fees as

escrow

agent, disburses the Loan proceeds, records the Grant Deed from Drinkwater to Borrower, records the Deed of Trust in favor of Lender, and issues a Loan Policy of Title Insurance (the "Policy") to Lender and its successors and/or assignees.

3/8/2021:

Lender assigns the Deed of Trust to Sound Equity High Income Debt

Fund,

LLC ("Debt Fund"). The assignment is recorded.

4/1/2021:

Debt Fund files a Complaint for judicial foreclosure against Borrower

after

Borrower defaults on the Loan.

3/24/2022:

Drinkwater files a Complaint against Lender (the "Drinkwater

Action")

alleging that the Grant Deed was procured by fraud and without compensation, rendering the Deed of Trust invalid and unenforceable as a lien against the Property. Stewart Insurance had two in-house attorneys present at the trial in the Drinkwater Action and were therefore on notice of the Drinkwater Action. In total, ten lawsuits arising from the Loan and the Deed of Trust were ultimately filed (the "Covered Lawsuits").

6/6/2022:

After a foreclosure sale, Debt Fund assigns the Loan and the Deed of

Trust to

Plaintiff Diplomat Property Manager, LLC ("Diplomat"). On the same date, a Trustee's Deed Upon Sale is recorded, pursuant to which Diplomat becomes the owner of the Property.

12/22/2023:

Lender tenders a claim against Stewart Insurance for its defense in

the

Drinkwater Action.

1/18/2024:

Stewart Insurance denies Lender's tender on the grounds that

Diplomat,

not Lender, was the party insured under the Policy and that the causes of action alleged in the Drinkwater Action were not covered by the Policy. (FAC, Exh. 13.)

1/16/2026:

Diplomat files the Complaint. The operative First Amended

Complaint

("FAC"), filed 5/1/2026, alleges causes of action for:

1. Breach of Contract By Agents and
Fiduciaries for Failure to Strictly Comply with Escrow Instructions
2. Breach of Insurance Contract
3. Breach of the Implied Covenant of
Good Faith and Fair Dealing

6/5/2026:

Stewart Insurance files this Demurrer and Motion to Strike, which is

followed

by Diplomat's Opposition (6/23/2026) and Stewart Insurance's Reply (6/29/2026).

TENTATIVE

RULING: DEMURRER OF DEFENDANT STEWART TITLE GUARANTY COMPANY is SUSTAINED with LEAVE TO AMEND.

MOTION

TO STRIKE OF DEFENDANT STEWART TITLE GUARANTY COMPANY is DENIED as MOOT.

I. DEMURRER

Stewart Insurance demurs to the second and third causes of action in the FAC pursuant to Code of Civil Procedure section 430.10, subdivision (e) on the grounds that Diplomat fails to state facts sufficient to constitute the causes of action against Stewart Insurance.

A.

2nd

Cause of Action: Breach of Insurance Contract – SUSTAINED with LEAVE TO AMEND

Diplomat fails

to plead a claim for breach of insurance contract against Stewart Insurance. Insurance policies are a category of contract, and thus subject to the same general rules pertaining to any other contract. (*Kransco v. American Empire Surplus Lines Ins. Co.* (2000) 23 Cal.4th 390, 400.) “The burden is on the insured to establish that the claim is within the basic scope of coverage and on the insurer to establish that the claim is specifically excluded.” (*MacKinnon v. Truck Ins. Exchange* (2003) 31 Cal.4th 635, 648.) “When determining whether a particular policy provides a potential for coverage and a duty to defend, we are guided by the principle that interpretation of an insurance policy is a question of law.” (*Waller v. Truck Ins. Exchange, Inc.* (1995) 11 Cal.4th 1, 18.)

Here, the

Policy names Lender and “its successors and/or assignees as their interests may appear” as the insured and was intended to insure that the Deed of Trust was recorded as a valid, enforceable first priority lien position Deed of Trust for the Property. (FAC, ¶¶ 21-22, Exhs. 3-5.) The “Covered Risk” under the Policy includes forgery and fraud, unmarketable title, and invalidity or unenforceability of the lien. (Id. Exh. 5.) Diplomat alleges that Stewart Insurance owed duties to Diplomat under the Policy, including the duty

to defend, and breached said duties by, for example, failing to represent the insureds in the Covered Lawsuits. (Id. ¶ 56.) Specifically, Diplomat alleges that Stewart Insurance should have construed Lender's tender of defense as being a tender on behalf of Diplomat and thus, Stewart Insurance should have provided Diplomat with reasonable assistance in pursuing a claim under the Policy. (Id. ¶ 36.) Diplomat further alleges that Stewart Insurance should have accepted the claim because of the infirmities in the Deed of Trust. (Id. ¶ 38.)

Stewart

Insurance argues that it could not have breached the Policy by rejecting Lender's tender because Lender was no longer covered by the Policy at the time of the defense tender. Specifically, Stewart Insurance asserts that the express and unambiguous terms of the Policy indicate that Lender's insurance coverage terminated when it assigned its interest in the Deed of Trust to Debt Fund in March 2021 because Lender no longer held an interest in the Property. (FAC, ¶ 24; Exh. 6.) In its Denial Letter to Lender, Stewart Insurance stated that it had no duty to defend based on Condition 2 of the Policy, given the assignments and the foreclosure sale. (Id. ¶¶ 29-30, Exh. 10, 11, 13.) Condition 2 provides:

The coverage of this policy shall continue in force as of Date of Policy in favor of an Insured after acquisition of the Title by an Insured or after conveyance by an Insured, but only so long as the Insured retains an estate or interest in the Land, or holds an obligation secured by a purchase money Mortgage given by a purchaser from the Insured, or only so long as the Insured shall have liability by reason of warranties in any transfer or conveyance of the Title. [...]

(Id.

Exh. 5, at p. 7, italics added.) Stewart Insurance now argues that Lender had no right to coverage when the Drinkwater Action was filed in March 2022 or when it tendered its defense in December 2023 because Lender's coverage under the Policy had already terminated under Condition 2 with the assignment of the Deed of Trust to Debt Fund in March 2021. (Mot., at p. 17.)

Diplomat

responds that there was a breach of the Policy because warranties existed in each of the assignments which resulted in Lender and the assignees remaining insured under the Policy. (Opp., at pp. 7, 15.) Specifically, Diplomat contends

that the assignment of a loan secured by a Deed of Trust contains the warranties governed by Commercial Code section 3416, which provides, “[a] person who transfers an instrument for consideration warrants all of the following to the transferee and, if the transfer is by indorsement, to any subsequent transferee ... the warrantor is a person entitled to enforce the instrument ...” (Comm. Code, § 3416, subd. (a)(1).) Commercial Code section 3416, however, governs transfer warranties for negotiable instruments, such as checks and promissory notes, and is not applicable to real property security instruments like the Deed of Trust here. Diplomat cites no authority for the position that either Commercial Code section 3416 (or the UCC generally) applies to a Deed of Trust securing an interest in real property. Instead, as Stewart Insurance argues, Civil Code section 1113 provides the applicable warranties referenced in the Policy here. (*Fidelity National Title Ins. Co. v. Miller* (1989) 215 Cal.App.3d 1163, 1171 [applying covenants of Civil Code section 1113 to title insurance dispute]; *Pollard v. Saxe & Yolles Dev. Co.* (1974) 12 Cal.3d 374, 380, fn. 5 [noting that Civil Code section 1113 “deals with warranties of title”].) As Lender never acquired “title” to the Property, Diplomat cannot show that the implied warranties under Civil Code section 1113 form a basis for continued coverage under the Policy.

Next,

Diplomat argues that it never received a final or unconditional payment as a result of the Drinkwater Action, resulting in Diplomat remaining an insured under the Policy. (Opp., at pp. 7, 17.) Diplomat relies on *Paramount Properties Co. v. Transamerica Title Ins. Co.* (1970) 1 Cal.3d 562 (*Paramount*) which held, under the narrow facts in that case, that only final or unconditional payments in connection with claims would terminate the insured's risk connected with the validity of the title. (*Id.* at p. 569.) Even so, as Stewart Insurance extensively explains, the factual circumstances and legal issues addressed in *Paramount* are not analogous to the instant matter. Simply put, *Paramount* does not stand for the general proposition that insurance coverage continues indefinitely in all factual situations until a lender receives final and unconditional payment.

Third,

Diplomat argues that Condition 2 of the Policy expressly provides that coverage will continue even if an insured acquires title at a foreclosure sale. (Opp., at p. 18.) Stewart Insurance responds, however, that Diplomat (not Lender) acquired title of the Property at the foreclosure sale. (FAC, ¶ 30, Exh. 11.) Because Diplomat became the owner of the Property by Trustee's Deed, recorded

on 6/6/2022 before Lender tendered its claim, Stewart Insurance argues that Lender had no interest in the Property and no rights under the Policy when it tendered its defense. (Rep., at p. 9.) Moreover, whether the Deed of Trust was void due to fraud is irrelevant to Lender's legal interest in the Property at the time of the tender. Thus, neither of these arguments appear relevant to Diplomat's claim that Stewart Insurance should have treated Lender's tender of defense as a tender by Diplomat. Diplomat fails to allege that it was a defendant in the Drinkwater Action, and thus, Diplomat has not clarified how it was owed any duty to defend.

Fourth,

Diplomat argues that Condition 2 is ambiguous because it gives no indication of the intent to terminate coverage while Lender's primary risk survived. (Opp., at p. 18.) Yet, Diplomat fails to identify any specific language in Condition 2 that could be reasonably construed to mean that coverage would continue for Lender after it no longer retained any interest in the Property. Condition 2 plainly states that coverage would continue "only so long as the Insured retains an estate or interest in the Land." (Id. Exh. 5, at p. 7, *italics added*.) This language unambiguously demonstrates the parties' intent to limit the scope and duration of coverage for the Insureds. The fact that this section is entitled "Continuation of Coverage" instead of "Termination of Coverage" does not alter the plain meaning of the provision. As Diplomat does not show that Condition 2 is reasonably susceptible to multiple constructions, the Court must infer the intent of the parties from the four corners of the Policy alone.

Fifth,

Diplomat argues that Section 2695.4(a) of the California Fair Claims Settlement Practices Regulations (the "Regulations") required Stewart Insurance to construe the tender by Lender as being a tender on behalf of Diplomat. (Opp., at p. 20.) Section 2695.4(a) provides: "[e]very insurer shall disclose to a first party claimant or beneficiary, all benefits, coverage, time limits or other provisions of any insurance policy issued by that insurer that may apply to the claim presented by the claimant. When additional benefits might reasonably be payable under an insured's policy upon receipt of additional proofs of claim, the insurer shall immediately communicate this fact to the insured and cooperate with and assist the insured in determining the extent of the insurer's additional liability." Diplomat concludes, without meaningful factual analysis, that Stewart Insurance concealed "what benefits might reasonably be payable" in violation of Section 2695.4. (Opp., at p. 20.) Even

so, Diplomat fails to clearly explain why Section 2695.4 must be construed as requiring Stewart Insurance to interpret Lender's tender for its defense in the Drinkwater Action as a tender on behalf of Diplomat for all ten of the Covered Lawsuits. (Rep., at p. 13.)

By

contrast, Section 2695.5(e) of the Regulations makes clear that the insurer owes responsibilities to the "claimant" upon receiving a notice of claim. Section 2695.2(c) defines "claimant" as "a first or third party claimant as defined in these regulations..." Section 2695.2(f) defines "first party claimant" as "any person asserting a right under an insurance policy as a named insured, other insured or beneficiary under the terms of that insurance policy..." Section 2695(x) defines "third party claimant" as "any person asserting a claim against any person or the interests [sic] insured under an insurance policy." Applying these definitions here, the facts alleged in the FAC makes clear that Lender was the only "claimant" (or the party "asserting a right under an insurance policy") in the tender letter, not Diplomat. Lender's "claim" was the right to a defense in the Drinkwater Action, ostensibly unrelated to Diplomat's right to a defense in the broader Covered Lawsuits. (FAC, Exh. 12.) Accordingly, Stewart Insurance argues that its obligations under Section 2695.5(e) are limited to providing the requisite assistance to Lender, which is the party asserting the "claim." By contrast, Diplomat's analysis fails to clearly explain why Stewart Insurance was obligated to make disclosures under Section 2695.4(a) to Diplomat, who was neither the claimant in the tender letter nor a party to the Drinkwater Action.

Ultimately,

the Court finds that Diplomat's theory of breach is uncertain, unsupported by the factual and legal theories asserted in the Opposition and insufficiently tailored to Diplomat's specific rights under the Policy. In light of the liberal policy favoring amendment of pleadings, however, the Court will permit Diplomat to amend its pleading to clarify its theory of breach. The Court notes that Stewart Insurance's demurrer is focused primarily on the defects in Diplomat's theory that Stewart Insurance breached its duty to defend Diplomat in the Covered Lawsuits by rejecting Lender's tender in the Drinkwater Action. Thus, an amended pleading would benefit from narrowing and clarifying the nature and scope of the coverage that Stewart Insurance failed to provide to Diplomat (as opposed to its predecessors in interest).

Accordingly,

Stewart Insurance's demurrer to the second cause of action for breach of insurance contract is SUSTAINED with LEAVE TO AMEND.

B.

3rd

Cause of Action: Breach of the Implied Covenant of Good Faith and Fair Dealing
– SUSTAINED with LEAVE TO AMEND

Diplomat's

breach of the implied covenant claim is also inadequately pled. To establish a breach of the implied covenant of good faith and fair dealing by an insurer, a plaintiff must allege that: (1) benefits due under the policy were withheld, and (2) the reason for withholding benefits was unreasonable or without proper cause. (Love v. Fire Ins. Exchange (1990) 221 Cal.App.3d 1136, 1151.) Where a plaintiff has "no viable breach of contract claim against [the defendant], his claim for bad faith denial of insurance benefits fails as a matter of law." (Behnke v. State Farm General Ins. Co. (2011) 196 Cal.App.4th 1443, 1470.)

Here,

Diplomat alleges that Stewart Insurance acted in bad faith by unreasonably failing to construe the tender of claim by Lender as being from Diplomat and by breaching its duty to defend Diplomat in the Covered Lawsuits. (FAC, ¶ 66.) These allegations are essentially identical to the facts underlying Diplomat's breach of contract claim. For the same reasons discussed above, whether Stewart Insurance's conduct amounted to a breach of the express terms of the Policy or a breach of the implied covenant by denying benefits in bad faith, Diplomat fails to demonstrate how Stewart Insurance is liable to Diplomat in connection with the Policy. Diplomat must allege more specific factual allegations clarifying the benefits owed to Diplomat under the Policy in connection with the Covered Lawsuits and how Stewart Insurance failed to comply with its obligations under the Policy.

Accordingly,

Stewart Insurance's demurrer to the third cause of action for breach the implied covenant of good faith and fair dealing is SUSTAINED with LEAVE TO AMEND.

II. MOTION

TO STRIKE – DENIED as MOOT

Stewart

Insurance moves to strike Diplomat's request for punitive damages from the FAC.

In light of the above ruling sustaining the demurrer to both causes of action against Stewart Insurance, no remaining claim exists in the FAC to support a claim for punitive damages. Accordingly, the Court deems Stewart Insurance's motion to strike to be MOOT.

III. REQUEST FOR JUDICIAL NOTICE

Stewart

Insurance requests judicial notice of the FAC filed in this action. The Court finds the request is superfluous and DENIES the request accordingly.

Defendant Stewart Title Guaranty Company to serve notice of ruling. This tentative ruling ("TR") shall be the order of the Court unless changed at the hearing and shall by this reference be incorporated into the Minute Order.

TR emailed to counsel and posted to court's website on 7/6/26 at 2 p.m.